

Sobha Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: SOBHA · BSE: 532784 · Report prepared 3 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts and public financials.

1 Snapshot

What the business does: Sobha is a Bengaluru-headquartered residential property developer. It buys or ties up land, builds apartments, villas and plotted layouts, and sells them — mostly before they are finished. Its distinguishing feature is that it is *backward integrated*: unlike most developers who hire contractors, Sobha owns its own construction arm, its own factories for concrete, glazing, joinery, metalwork and interiors, and its own retail/contracting business that also builds for outside clients such as showrooms and offices. It sells in 13–14 Indian cities, but Bengaluru and the National Capital Region (NCR — Gurugram, Greater Noida) are the two that matter.

The one thing to understand about developer accounting: Sobha books revenue in its profit & loss account only when a project is *completed* and it receives the **Occupancy Certificate (OC)** — the government's sign-off that a building may be lived in. So the flats it sells today show up as profit three to four years later. That lag is the whole story in this report.

Measure	Value	What it means in plain words
Market cap	₹14,677 cr	What the whole company is worth on the stock market — a mid-cap.
Q1 FY27 pre-sales	₹3,656 cr	Pre-sales = the value of homes booked by buyers during the quarter. Up 76% on a year ago and the highest quarter Sobha has ever had.
Q1 FY27 volume	2.34 mn sq ft (1,432 homes)	How much floor area was booked. Roughly double the ~1.2 mn sq ft quarterly pace of two years ago.
Average realisation	₹15,655 / sq ft	The average price per square foot achieved. Was ₹10,922 in FY24 — so prices have risen about 43% in two years.
FY26 revenue (P&L)	₹5,368 cr	Accounting revenue for the year to March 2026, up 32% on FY25's ₹4,067 cr.
FY26 net profit	₹301 cr	Profit after all costs and tax — nearly triple FY25's ₹112 cr, but on a ₹5,000 cr business that is still thin.
Q1 FY27 operating margin	~6% (Screener) 9.7% (company)	Six to ten paise of operating profit per rupee of sales. Management says the same projects, once completed, carry 30%+ margins at project level. That gap is the trigger.
Net cash (30 Jun 26)	₹659 cr	Cash of ₹1,769 cr minus borrowings of ₹1,110 cr. Sobha owes less than it holds — rare for an Indian developer.
Unrecognised revenue	₹20,553 cr	Money from homes already sold that has not yet passed through the profit & loss account. Roughly four years of current revenue, already contracted.
Return on equity (FY26)	6.55%	Profit earned on shareholders' money. Poor — the business is not yet converting scale into returns.
Price/earnings ratio	46.8x	The market is already paying nearly 47 times last year's profit, i.e. it has largely pre-paid for the margin recovery described below.

2 Concall coverage

Quarter	Call date	Transcript read?
Q4 FY23	Jun 2023	Yes — targeted read (guidance, pre-sales, debt)
Q1 FY24	Aug 2023	Yes — targeted read
Q2 FY24	Nov 2023	Yes — targeted read
Q3 FY24	Feb 2024	Yes — targeted read

Q4 FY24	May 2024	Yes — full opening remarks + guidance
Q1 FY25	Aug 2024	Yes — targeted read
Q2 FY25	Nov 2024	Yes — targeted read
Q3 FY25	Feb 2025	Yes — targeted read
Q4 FY25	30 May 2025	Yes — full opening remarks + guidance
Q1 FY26	26 Jul 2025	Yes — targeted read
Q2 FY26	18 Oct 2025	Yes — targeted read
Q3 FY26	17 Jan 2026	Yes — full opening remarks + guidance
Q4 FY26	5 May 2026	Yes — full opening remarks + guidance
Q1 FY27	21 Jul 2026	Yes — read in full, cover to cover ★

Screener listed 35 concall documents going back to 2018; all 35 downloaded with no gaps (two January 2026 files were duplicates of the same Q3 FY26 call). The 14 quarters above — three full years, Q4 FY23 through Q1 FY27 — are what this report is built on. The same two executives, Managing Director Jagadish Nangineni and Chief Financial Officer Yogesh Bansal, have hosted every one of them, so the promised-versus-delivered comparison below is against the same people throughout.

★ Latest concall highlights — Q1 FY27 (call held 21 July 2026)

- **The best sales quarter in Sobha's history, by a wide margin.** Pre-sales of **₹3,656 cr**, up 76% on a year ago — 2.34 million sq ft across 1,432 homes at ₹15,655 per sq ft. To put it in scale: this single quarter is 45% of what the company sold in the whole of FY26.
- **Two launches did the heavy lifting.** Sobha One World in Bengaluru (3,484 homes on 47.4 acres; 3.4 mn sq ft released, ~40% sold at launch) contributed about 45% of the quarter's sales on its own. Sobha Crescent in Gurugram (~60% sold) drove NCR to its own record of ₹1,384 cr. Three projects totalling 6.89 mn sq ft and roughly ₹10,000 cr of gross development value were launched in the quarter.
- **New guidance: at least 30% pre-sales growth for FY27** — which implies roughly ₹10,600 cr for the year — plus 8.2 mn sq ft of further launches across 9 projects in the remaining nine months (about ₹12,000 cr of value), and completions of 6–6.5 mn sq ft against 5.4 mn sq ft last year.
- **The margin promise was restated, and dated.** Asked directly whether margins would finally improve, the MD said the reported EBITDA margin — **earnings before interest, tax, depreciation and amortisation, i.e. operating profit before financing and accounting charges** — is currently about 9.7% and "as we leave the end of Q4, maybe hopefully, we should be able to do closer towards 17% to 20%." Q2 was flagged as likely flat.
- **Tone: confident but noticeably unspun.** Management volunteered that collections were weak relative to sales (labour shortage in April–May meant construction milestones were missed, so bills could not be raised), that ₹200–300 cr of Q1 bookings will spill into Q2, and — when an analyst spotted that the projected profit pool from the forthcoming pipeline had been cut from ₹8,600 cr to ₹6,830 cr — explained it straight: more of the pipeline is now joint development, where Sobha shares the economics with the landowner.

Business mix & capacity. Geography (Q1 FY27 pre-sales): Bengaluru ₹2,067 cr (57%) and NCR ₹1,384 cr (~38%) — the two together are about 94% of the quarter, up from 85% for FY26 as a whole. *Plain read: Sobha is a two-city company today, and it got more concentrated, not less, in its record quarter.* Full-year FY26 was Bengaluru ₹4,500 cr, NCR ₹2,450 cr, Kerala ₹800 cr, all other cities ₹400 cr. **Launch pipeline: 20.77 mn sq ft across 17 projects**, of which 9 projects / 8.2 mn sq ft are targeted inside FY27 — 4 in Bengaluru (~3 mn sq ft), 2 in NCR (~2 mn), 1 in Hyderabad (1.7 mn) and 2 in Kerala (1.5 mn). *Plain read: roughly two years of launches are already designed and in the approvals queue.* **Unsold ready inventory: 14.94 mn sq ft.** *Plain read: even with no new launch at all, there is a large stock of homes available to sell.* **Non-real-estate businesses** (contracting, manufacturing, retail interiors) contributed ₹170 cr of revenue in the quarter, plus ₹23 cr of commercial rental income — about 13% of total income, and management guides to a flat run rate. **Land:** ₹370 cr spent on land in Q1 (a small 1.3-acre Mumbai plot for ₹180 cr and a Greater Noida joint development; combined value ~₹2,700–3,000 cr), with ₹1,500–1,600 cr planned for the full year against ₹1,160 cr last year. Sobha does **not** disclose a single consistent land-bank acreage figure in these calls — it reports pipeline in million square feet instead, so no acreage number is quoted here.

★ 3. Earning-trigger thesis

The trigger is an **accounting gap, not a hope**. Sobha has ₹20,553 cr of revenue from homes that are already sold and contracted but cannot be booked until the buildings receive their occupancy certificates. Management has said in six consecutive calls that this backlog carries an embedded margin of **30%+ at project level**, and that the slice completing in the next twelve months carries 24–26%. What the profit & loss account is showing today — 6% to 10% — is the tail end of homes sold in 2020–22, when Sobha priced low and then got hit by construction cost inflation. As that vintage clears and the 2023-onward sales (booked at ₹13,000–15,600 per sq ft against a cost base set years earlier) start completing, reported margins mechanically rise. Completions are accelerating to make that happen faster: 4.54 mn sq ft in FY25 → 5.4 mn in FY26 → 6–6.5 mn guided for FY27. **The homes are sold, the money is contracted, and the accounting simply has not caught up.** The risk is entirely timing, not existence — and timing is exactly where this management has a poor record.

Trigger	What management said	Evidence so far	Horizon	Strength
Margin normalisation on the sold backlog	₹20,553 cr unrecognised revenue at 30%+ project EBITDA; next 12 months' completions at 24–26%; reported margin to reach 17–20% by Q4 FY27.	Directionally starting. Q4 FY26 EBITDA was ₹194 cr (~9.4% margin) versus ₹73 cr in Q1 FY26. Q1 FY27 at 9.7% versus 8.4% a year earlier. But the promise has been made every year since FY24 and reported margin is still single digit.	2–6 quarters	Moderate The backlog is real and contracted. Only the date keeps moving.
Pre-sales scale-up	"At least 30% growth" in FY27 after 30% in FY26; the ₹10,000 cr-a-year milestone finally in reach.	₹5,198 cr (FY23) → ₹6,644 cr (FY24) → ₹6,277 cr (FY25, a decline) → ₹8,136 cr (FY26) → ₹3,656 cr in Q1 FY27 alone. The trend is real and Q1 was exceptional.	Now	Strong Demonstrated, not promised. Q1 is 34% of the full-year target already.
Price realisation	Pricing "quite stable for the last 3–4 quarters"; premium product mix lifts the average.	₹10,922/sq ft (FY24) → ₹13,412 (FY25) → ₹14,675 (FY26) → ₹15,655 (Q1 FY27). A 43% rise in two years on an unchanged cost base for older land.	Ongoing	Strong This is what feeds the margin recovery above.
Net-cash balance sheet	"We envisage our net debt to be at about 0 level for this year"; borrowing cost 7.62%.	Delivered and held. Borrowings fell from ₹3,015 cr (FY20) to ₹1,024 cr (FY26). Net cash ₹800 cr at March 2026, ₹659 cr at June 2026 after ₹370 cr of land buying.	Now	Strong Lets Sobha buy land in a competitive market without stress.
Geographic expansion (NCR, Mumbai, Hyderabad, Pune)	Footprint to 13–14 cities; Greater Noida and Mumbai entered in FY26; NCR at record ₹2,450 cr in FY26.	NCR is genuinely working — ₹1,384 cr in one quarter. Mumbai is one 1.3-acre plot and one small project. Hyderabad and Pune are still unlaunched.	2–4 yrs	Moderate NCR proven; the rest is intent with small money behind it.
Cash conversion	FY27 net operating cash flow "close to ₹2,000 cr"; ₹12,000 cr of projected margin cash flow from completed and ongoing projects.	Q1 FY27 collections ₹1,756 cr, up only 10% while pre-sales rose 76%. Net operating cash flow ₹312 cr; overall net cash outflow of ₹149 cr after land. Management blamed timing and a labour shortage.	2–4 quarters	Unproven Cash is not yet following the sales. Watch this next quarter.

4 Management consistency scorecard

Period	What was promised	What actually happened	Verdict
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FY24 guidance (Jun 2023)	Pre-sales to grow "over 20%" on FY23's ₹5,198 cr; launch 6–7 mn sq ft.	FY24 pre-sales ₹6,644 cr, up 28%. Launches 7.03 mn sq ft. Both cleared.	Delivered
FY25 guidance (FY24 calls)	Pre-sales of ₹8,500 cr ; launch 9 mn sq ft.	Pre-sales came in at ₹6,277 cr — 26% short, and 5.5% below the previous year. By Feb 2025 the target had quietly been reset to "at least what we did last year", and even that was missed. Launches, however, hit 8.76 mn sq ft.	Missed (launches: Delivered)
FY26 guidance (May 2025)	"At least 30% plus" pre-sales growth and "the goal of reaching the 5-digit sales number" (₹10,000 cr) by FY26; launch ~10 mn sq ft, "at least half" of an 18.56 mn sq ft pipeline.	Pre-sales ₹8,136 cr — the 30% growth rate was hit, but the ₹10,000 cr goal was not, and the number is still below the ₹8,500 cr first promised for FY25 two years earlier. Launches were only 6.04 mn sq ft against 8.5–10 mn guided — the guidance was cut mid-year from 10 to 8.5 and still missed.	Partly (launches: Missed)
Completions (May 2025)	Raise completions 20% to ~5.5 mn sq ft in FY26.	5.4 mn sq ft delivered (3,188 homes), up 19%. Essentially on target.	Delivered
Deleveraging (2023 onward)	Reduce net debt every quarter; use the ₹2,000 cr rights issue to reach a net-cash position.	Done and sustained. Net debt turned negative for the first time in company history in FY25 and has stayed negative through Q1 FY27 despite heavy land spending.	Delivered
Margins (every call, FY24→FY27)	Feb 2024: better margins "towards the end of the financial year." Feb 2025: "from Q4 we should start looking at slightly better margin." May 2025: "margins should start improving this financial year definitely." Oct 2025: "significantly improve starting from next financial year." May 2026: significant improvement in FY27.	Reported operating margin: 8% (FY24) → 7% (FY25) → 8% (FY26) → 6% in Q1 FY27 . Three years of promises, no sustained improvement. Each miss came with a specific and individually credible reason — occupancy certificates delayed in 5 Bengaluru projects (Q1 FY26), a BBMP ground-rent provision (Q2 FY26), 3 more OCs missed costing ₹500 cr of revenue (Q3 FY26), losses in the contracting arm (FY25) — but the pattern is what counts.	Missed Repeatedly.
Q1 FY27 (Jul 2026)	FY27 pre-sales +30% (~₹10,600 cr); 8.2 mn sq ft of further launches; completions 6–6.5 mn sq ft; reported EBITDA margin 17–20% by Q4; operating cash flow ~₹2,000 cr.	One quarter in, pre-sales are running well ahead of the run rate needed. Everything else is unresolved.	Too-early

Narrative drift. There is remarkably little of it in the *story* and a great deal of it in the *calendar*. For three straight years the pitch has been identical — backward integration, Bengaluru plus NCR, a large sold backlog with 30%+ embedded margin, a clean balance sheet — and management has not once pivoted to a new theme or a new business to distract from a weak quarter. The project-level margin figure (30–33%, rising toward 40% on recent sales) has been restated consistently across at least six calls rather than inflated. They also disclose badly-timed facts without being cornered: they announced the FY26 launch shortfall themselves, and when asked about the forthcoming pipeline's profit pool being cut by a fifth, they gave the real reason rather than a deflection. **What drifts is the date.** Margin recovery has been "next half" or "next year" since early 2024, and each restatement pushes it out by roughly two more quarters; the ₹8,500 cr pre-sales target promised for FY25 was not achieved until FY26 was nearly over; the ₹10,000 cr "5-digit" milestone has been rolling forward since May 2025. An investor who took every timeline literally over the last three years would have been wrong every single time — while an investor who took the direction literally would have been broadly right.

Durable earning trigger? → YES

This one is not a story, it is arithmetic. Sobha has **₹20,553 cr of revenue from homes that are already sold** sitting outside the profit & loss account, waiting on occupancy certificates — about four years of current revenue, contracted. Management has stated consistently across six calls that this backlog carries 30%+ margin at project level, with the tranche completing in the next twelve months at 24–26%, against the 6–10% the company reports today. The gap exists because Sobha is still recognising homes it sold in 2020–22 at low prices into a cost base that later inflated; the 2023-onward sales were booked at ₹13,000–15,655 per square foot and have not started flowing through. Completions are being deliberately accelerated (4.54 → 5.4 → 6–6.5 mn sq ft) to release them faster. On top of that, the front end is firing: ₹3,656 cr of pre-sales in one quarter, up 76%, at record prices, from a two-year launch pipeline of 20.77 mn sq ft — funded off a net-cash balance sheet at a 7.62% borrowing cost. **Two honest caveats.** First, timing: this trigger has been three quarters away for three years, so a further slip is the base case, not a surprise. Second, collections grew only 10% while pre-sales grew 76% — cash is lagging the bookings, and if that persists beyond a quarter it undermines the whole thesis. And at 46.8 times earnings the market has already priced a good deal of the recovery in. But the question asked is whether a durable trigger exists, and it plainly does.

Management consistent? → MAYBE

Split the record in two and it resolves cleanly. On **what they can control**, they deliver: net debt has gone from ₹3,015 cr in FY20 to a net-cash position held for six straight quarters; completions hit the 20% growth target; the rights issue was raised and deployed as described; the strategy has not drifted an inch in three years; and disclosure quality on the calls is high — they surface bad news, including a 21% cut to the forthcoming pipeline's profit pool, rather than burying it. On **what they forecast**, they are unreliable in a specific and repeating way. FY25 pre-sales were guided at ₹8,500 cr and came in at ₹6,277 cr — a 26% miss and an outright decline on the prior year. FY26 launches were guided at 10 mn sq ft, cut to 8.5, and landed at 6.04. And margin improvement has now been promised in Feb 2024, Feb 2025, May 2025, Oct 2025 and May 2026, with reported operating margin still at 6% in the latest quarter. The excuses are individually believable — delayed occupancy certificates, a municipal ground-rent provision, a labour shortage — but a management team that is blindsided by the same category of problem five years running is not forecasting well; it is forecasting the best case and calling it the plan. That is not dishonesty, and it stops well short of a NO, because the direction has always been right and the underlying claims have always eventually proved out. But the new promise of a 17–20% margin by Q4 FY27 should be read as an ambition with a two-to-four-quarter error bar attached, not as guidance.

Sources: Fourteen Sobha Ltd earnings-call transcripts filed with BSE (scrip 532784) and NSE (SOBHA), covering Q4 FY23 (June 2023) through Q1 FY27 (call held 21 July 2026, transcript filed 27 July 2026), sourced from Screener.in. The Q1 FY27 transcript was read in full; Q4 FY24, Q4 FY25, Q3 FY26 and Q4 FY26 were read in full for opening remarks and guidance; the remainder were read targeted on pre-sales, realisation, launches, collections, debt and margin guidance. Financial history from Screener.in (profit & loss, balance sheet, cash flow, ratios, quarterly results, shareholding).

A note on the numbers: pre-sales, realisation, launch, completion, collection and net-debt figures are management's own, as stated on the calls. Multi-year revenue, profit, margin and balance-sheet figures are from Screener.in. The two do not always tie: for Q1 FY27 management reported total income of ₹1,330 cr and profit after tax of ₹50.7 cr, while Screener's quarterly table shows sales of ₹1,258 cr and net profit of ₹58 cr; management reported FY26 EBITDA of ₹503 cr against Screener's operating profit of ₹421 cr. The differences are basis differences (consolidated versus standalone, and the treatment of other income) — both are correct on their own basis, and neither changes the conclusions above.